

Project A	Cash Flows	Maintaince	After Maintaince	After Tax	Total Cash Flow	NPV (11%)	NPV	PayBack	PayBack Discounted
0	-400,000				-400,000	1	-400000	-400000	-400000
1	120,000	0	120,000	120,000*0.8	96,000	0.901	86496	-304000	-313504
2	140,000	20,000	120,000	120,000*0.8	96,000	0.812	77952	-208000	-235552
3	-80,000	20,000	0	0	-100,000	0.731	-73100	-308000	-308652
4	200,000	20,000	180,000	180,000*0.8	144,000	0.659	94896	-164000	-213756
5	260,000	20,000	240,000	240,000*0.8	192,000	0.593	113856	28000	-99900
6	180000 +50,000 =230,000	20,000	210,000	210,000*0.8	168,000	0.535	89880	196000	-10020
	Net Profit				196,000		-99900		
ROI = Avg.Net Profit / Cost of Investm			year		No Discounted Payback Period				
Net Profit = (196,000)/6			32666.666670)						
ROI =32666.67/400000 =			0.0816666758.17%4.85 years						

Project B	Cash Flows	Maintaince	After Maintaince	After Tax	Total Cash Flow	NPV (11%)	NPV	PayBack	PayBack Discounted
0	-500,000				-500,000	1	-500000	-500000	-500000
1	180,000	0	180,000	180,000*0.8	144,000	0.901	129744	-356,000	-370256
2	-150,000	25,000	0	0	-175,000	0.812	-142100	-531,000	-512356
3	220,000	25,000	195,000	195,000*0.8	156,000	0.731	114036	-375,000	-398320
4	250,000	25,000	225,000	225,000*0.8	180,000	0.659	118620	-195,000	-279700
5	-100,000	25,000	0	0	-125,000	0.593	-74125	-320,000	-353825
6	310,000+70,000 =380,000	25,000	355,000	355,000*0.8	284,000	0.535	151940	-36,000	-201885
	Net Profit				-36,000		-353825		
ROI = Avg.Net Profit / Cost of Investment									
NO ROI as Project Goes In Loss			NO Payback Period Project Goes In Loss		No Discounted Payback Period as Project Goes In Loss				

Project C	Cash Flows	Maintaince	After Maintaince	After Tax	Total Cash Flow	NPV (11%)	NPV	PayBack	PayBack Discounted
0	-300,000				-300,000	1	-300000	-300000	-300000
1	-100,000	0	-100,000	0	-100,000	0.901	-90100	-400,000	-390100
2	130,000	15,000	115,000	115,000*0.8	92,000	0.812	74704	-308,000	-315396
3	160,000	15,000	145,000	145,000*0.8	116,000	0.731	84796	-192,000	-230600
4	-70,000	15,000	0	0	-85,000	0.659	-56015	-277,000	-286615
5	220,000	15,000	205,000	205,000*0.8	164,000	0.593	97252	-113,000	-189363
6	260,000+30,000 =290,000	15,000	275,000	275,000*0.8	220,000	0.535	117700	107,000	-71663
	Net Profit				107,000		-189363		
ROI = Avg. Net Profit / Cost of Investment									
ROI=(107,000/6) /300000 = 0.0594 = 5.94%			Payback Period Project = 5+(113,000/220,000) = 5.51		No Discounted Payback Period				